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Count(s)	Word(s)	Char(s)	Char(s) (WS)
Section 1	**2124**	**10661**	**12778**
Section 2	**888**	**4659**	**5550**
Section 3	**598**	**3242**	**3840**
Total	**3610**	**18562**	**22168**

Answer-to-Question-_1_

Law or equity?

Suits by shareholders of a Delaware court can proceed in law and/or equity. Donnie Digital's potential legal theory of liability would be an *ultra vires* one, as in *Depeyster*; here, something like "The preferred stock provision in the charter isn't *intended* to function that way, it's for some other purpose (maybe getting some fast cash from VCs if the company needs it). This is not a great argument, as the plain text of the certificate of incorporation says the board can do this ("whatever attributes the board thinks appropriate.") In any case, given the permissive structure of modern Del. corps, an the wide view of 141(a) of the board's abilities, it's unlikely a Delaware court would lean very much on the legal theory of liability, even if something inequitable is happening (see *Cheff*, which also tells us that selective dealing with SHs, like Activist, is legally fine under DGCL 160.)

Direct or derivative?

If we're proceeding in equity, before discussing breach of fiduciary duty, it's worth considering whether this is a direct or derivative claim. A useful comparison point is the underlying (settled) suit in *Zuckerberg*, which was a direct suit proceeding on the theory that Zuckerberg had messed directly with other common SHs' stock. Although it seems unlikely, it's alternatively possible that this is in fact a derivative suit, on the theory that recovery (injunctive or damages) would flow to the corporation, as Acme's overall value would decrease if the transaction with Activist goes through, and rebound if it's enjoined. This weak argument is only worth noting because if this were in fact a derivative suit, Donnie's outlook is somewhat grim: he would then need to send a demand letter (conceding that the board is capable of figuring this out on their own, *Solak*), or otherwise plead demand futility even though 8/9 of Acme's modern style board is outsiders. Given that there's no indication that they're in any way dominated by some controlling SH (prior to this transaction closing, ownership is so dispersed that there very likely IS no controller), or otherwise that some non pro rata benefit is flowing to them, demand would likely be futile, again halting any derviative suit.

Entire fairness, or something less?

Assuming that the suit is direct, and can avoid any 12b6-style motion for lack of demand futility, the next question is under what standard the board's conduct should be reviewed. Again, the nine-member board has eight outsiders, and does not seem to be dominated (at least prior to the transaction) by any of the widely-dispersed SHs (at most, one group of different institutional investors owns 14%; c f. *Tesla*, where Elon was a single person, controlled a more sizable 22%, and the court still wasn't sure he was controlling). Since no self-dealing seems to be flowing to any fiduciary, this case would seem like a poor fit for entire fairness review, moving us into business judgment territory, absent any other considerations.

Revlon

However, there are, in fact other considerations, namely the *Revlon* and *Unocal* theories of enhanced

scrutiny that apply in certain situations. We can begin with *Revlon*, which, under *QVC* applies in either break ups or changes of control. Although this isn't a break up (Acme exits the transaction the same company), this is a change of control -- at the end of the transaction, we emerge with a new controlling SH, Activist, who controls 1 billion votes (1 million pref. shares x 1000 votes a preferred share), plus another 9.8 million votes from preexisting stock ownership. This is more than 51% of the total 1.98 billion votes, making Activist a per se controlling SH.

At the moment the directors became aware that this was the result of the transaction, *Revlon* duties were triggered, requiring the board to play diligent auctioneer, and maximize the short term value of the company. This is where things get weird -- *Revlon* itself is not a great fit for these facts, because the point of this transaction itself is to allow Acme to take on a subsequent transaction that the directors DO believe will maximize the short term value of the company. This transaction, however, (the mere transfer of control to a a new controller), may or may not provide any value in and of itself, meaning subjecting it to enhanced scrutiny could yield unpredictable results. For example, one can imagine a world where the announcement that Activist is now a new controlling SH causes the stock price to go up, as institutional investors rejoice because the corp. has allowed in a savvy raider who will maximize their profits and then leave; or perhaps retail investors will grow suspicious angry at their beloved corp. for acting antidemocratically, and sell en masse. Even if the net long term value of bringing in Activist as controller is positive, once the amendment procedure is completed, *Revlon* tells us to only care about short term value, perhaps to the detriment of the board in this case (if the short term value of the stock actually suffers, and/or the board wasn't thinking about it). It's also not clear what "short term" means from *Revlon* -- maybe both the disputed stock issuance and subsequent amendment in 60 days are both "short term" (although this is certainly debatable), meaning the directors foresaw a subsequent bounceback/net increase happening within this window, and that they did in fact satisfy *Revlon*. Finally, it's worth noting briefly here as well that *MFW* and *Corwin* are not applicable to this case, as those only apply in damages suits, and Donnie Digital is seeking to "block" this suit, suggesting an injunction.

Another point worth discussing here is the de minimis value/redeemability feature of the preferred stock issued to Activist. Activist puts in $100K, can be redeemed for $100K at any time by the board, and in turn gets voting rights. This is very reminiscent of the poison pill in *Household Products*, where the court was deferential to the implementation of a corporate mechanism that would otherwise be subject to *Revlon* BECAUSE it didn't disrupt the corporate structure, and also could be reversed by the board at any time. Building on that precedent, the board's lawyers could say "Sure, if the board refused to redeem this stock, then it could be a *Revlon* problem; but until then, the fact that the stock is outstanding and gives Activist control should be judged under business judgement." Moreover, the fact that the board can potentially do this before the next proxy election means that Activist, as controller, will not be able to do anything to keep himself in power, so long as the board is not controlled by him (see above for that discussion). However, although this is a clever argument in the *Revlon* sphere, the fact that this involves the sacrosanct realm of voting, rather than the realm of sales/takeover alone, makes this look a lot more like *Williams Company*,

where the initial implementation of (rather than the refusal to redeem) a pill intended to curtail voting was still found to fail *Unocal* review (see below for more on *Unocal*).

A final question might be exactly *which* fiduciary duty was breached here -- we've already seen that this isn't a great fit for loyalty, and the board also seems to have done its due diligence here, by consulting a knowledgable lawyer for advice (making care breach less apparent). Care still seems like a slightly better fit (maybe the board was careless when it didn't pursue other alternatives, or didn't realize the impact handing things over to an activist would have in the short term), but it makes no real difference here, as Donnie Digital does not seem to be pursuing damages at all (much like Perelman in *Revlon* itself).

***Unocal*/SH Franchise Cases**

Separate from *Revlon* is our *Unocal* inquiry. Here, the directors have seemed to seek to influence the SH franchise; and voting-related board measures are now judged under the "gimlet eye" *Unocal* standard, post-*Coster*. Unfortunately, *Unocal* as a whole (gimlet-eyed or otherwise) is also an odd fit for these facts, just as with *Revlon*. Unlike a paradigmatic *Unocal* case, there's not a very clear "threat" to corporate policy here, nor is there really anyone in the wings trying to take over; sure, the board was wary of Activist's reputation, but that doesn't seem to have influenced their decision here; Activist doesn't pose a structurally or substantively coercive threat that the board would be counterintuitively trying to ward off by making him MORE powerful. If anything, he board might argue the threat to corporate policy is what would happen if Activist isn't able to help the vote through; the stock price will stay too low, and SHs will not reap the windfall of Acme issuing more stock. In other words, the "bad deal" (substantive coercion) lies with NOT issuing the preferred stock; although this argument is again a weird fit, because it's not as if the retail shareholders are being substantively coerced to sit at home, game, and not vote in the upcoming amendment proxy, and need Activist to come defend them.

For all these reasons, *Unocal* is a weird fit for this voting issue; while the doctrine may subsequently be developed up post-*Coster*, *Coster* also left the preexisting precedents of *Schnell* and *Blasius* as good law, so those are more helpful in providing a framework for us to evaluate what "gimlet eye" *Unocal* might mean on these facts. *Blasius* is especially informative; there, as here, directors were interfering with a SH vote out of good faith, and a desire to protect the SHs. However, the court explicitly ruled out such paternalism in the voting context, although such defensive tactics would have been allowed in the sale context. Here, *Blasius* is perhaps distinguishable, as the board can argue that in *Blasius*, the board wanted to vote AGAINST what the SHs would otherwise have voted (appointing certain directors), where here, the board would simply be replicating what the SHs themselves would do if they weren't so unsophisticated. As a factual matter, of course, we don't know this for certain -- it's possible the retail SHs WOULDN'T vote to amend the certificate of incorporation at all. Perhaps more to the point, this sort of conduct still seems to be frowned upon by *Blasius,* and might enjoined under that case alone, since it remains good law.

Of course, if Donnie wants to couch his argument in *Unocal* language, the theory would go something like

this: first, the board has implemented a measure to "defend" their preferred transaction (having the charter amended). This measure, transferring voting to Activist, is not in response to a legitimate threat recognized by *Unocal* (as in *Williams*, the threat seems to be "the shareholders can't vote correctly" which is not a good thing to say to a Delaware judge; and even the more charitable reading, "the threat is that the company will lose value if we don't undertake this course of business" is a bit dubious.) And even if that threat is legitimate, the board's response is clearly disproportionate, especially with our gimlet eye goggles on. Sure, the board has a fiduciary out of sorts here (can always redeem the preferred shares), so this isn't preclusive or coercive, per se, and is not a *fait accompli*. But did they really need to give 50% of voting power to Activist? There's surely a path of lesser resistance here; institutional, sophisticated investors, along with management, comprise 32% of the company. Why couldn't the board have given Activist only, say, 18% of the vote, or something else less than 50%? In that case, *Revlon* wouldn't have been triggered, Activist wouldn't be able to force things through, and would still probably have been able to make the transaction work, in a much less disproportionate way.

Conclusion

So long as Donnie can bring a direct and not derivative suit, his *Unocal* and perhaps also *Revlon* arguments seem fairly strong, and would likely put the board's action under a scrutiny it could not survive. Of course, Donnie's motivations (perhaps seeking to mess with the deal rather than actually participate, as maybe was the case in *Time*) could make a judge dislike him slightly more, but at the very least, his *Unocal* case seems fairly strong. As a final note on both *Unocal* and *Revlon,* both of those cases have subsequently been rolled back/cabined over time, but in large part because of the increasing sophistication of institutional investors. Here, where Acme is actually largely owned by retail investors, Donnie's argument might provide a particularly strong reason for a court to ensure that directors are behaving well towards their constituents. It is precisely because retail investors are *not* well-positioned to vote that they might need more protection through judicial intervention.

----------ANSWER-1-ABOVE----------

---------DO-NOT-EDIT-THIS-DIVIDER----------

----------ANSWER-2-BELOW----------

Answer-to-Question-_2_

The instantly recognizable conflict between *Depeyster* and *Marchand* is that the former seems to represent a laissez-faire view by courts towards the day-to-day happenings of business people, while the latter instead seems to take a rather skeptical view of a board's ability/trustworthiness to conduct business.

While this difference is probably overstated (see below), it is worth reviewing in brief. In *Depeyster*, we see a judge look at the actions of a group of businessmen, and absolve that group of their inability detect the misdeeds of a degenerate gambler and embezzler. In *Marchand,* however, a judge looks at a board's inability to detect poor safety practices in their ice cream corporation, and condemns them for it (with the potential for whopping monetary damages). To be sure, the former case is a post-judgement appeal, while the latter is merely a pretrial motion to dismiss, both of which have different evidentiary standards, and maybe result in different judicial demeanors. To my mind, the biggest way that the opinions diverge is in the fact that *Marchand* arguably seems to evince more of a desire by the Delaware courts to make policy (i.e. "corporations should do this, even though some of them don't, and even though this doctrine is historically nebulous"), rather than merely defer to customary business practices (i.e. "Who am I to say how to run a business?"). Perhaps, under a legal realism theory, this can also be chocked up to the fact that *Marchand* involves loss of human life by customers, while *Depeyster* merely involves financial losses to what were likely well-off investors, but these differences are not especially generalizable.

However, even assuming modern Delaware courts are slightly more inclined to judicial policymaking, *Depeyster* and *Marchand* are likely easily reconcilable -- to the point where *Depeyster*'s facts make it arguably seem like something of a progenitor to *Marchand*. Put differently, *Depeyster* and *Marchand* actually express the same judicial tendencies, and promote the same corporate practice; *Depeyster* merely shows what happens when a corporation complies with corporate law judges' preferred rule (corporations should have SOME sort of compliance system), and *Marchand* when a board does not.

In *Depeyster*, one point of contention was that the procedures for reviewing the company's books were not as efficient as they could have been. In *Marchand* terms, we might call this a "central compliance issue," something core to the business that even the non-businessperson judge thinks is obvious for a corporate board to check up on at semi-regular intervals. Crucically, unlike in *Marchand*, no one in *Depeyster* alleged that the National Insurance Co. had no compliance system *at all*; the plaintiff merely alleged the compliance system was suboptimal, e.g. that the corporate board should have been hauling the books to the bank at regular intervals to cross-reference them with the bank records. Transposed onto *Marchand*'s facts, this would be something like if the *Marchand* plaintiffs said in their complaint "Yes, Bluebell does have a food safety monitoring system, but they could have improved it in X, Y, and Z ways to better stop listeria."

In these counterfactual worlds, it's easy to imagine the respective courts arriving at the opposite conclusion: in *Depeyster*, the court might have emulated *Marchand*, saying "You all hired a degenerate gambler, and you're not even keeping track of what anyone in the corporation is spending, or what your assets and liabilities are? That's clearly not good faith/a diligent business demeanor, i.e., the bare minimum care we expect someone taking care of a joint asset to exercise." And in *Marchand*, we can imagine the Delaware court saying (in *Depeyster* style), "Sure, these businesspeople aren't public health experts, but they're trying their best, being careful with monitoring the food safety stuff that's core to their business, we're not going to do a strict efficiency analyis here, they made an informed business decision and we'll accept it (under

cases like *Wrigley*)."

To sum up this theme in a pithy way, a classic Woody Allen quote comes to mind: "Ninety percent of life is showing up." If a board "shows up" like the board in *Depeyster,* by at least making a token showing of setting up systems of corporate oversight, a court is willing to halt its inquiry, take them at their word that they're acting in good faith (good faith being the reason why *Caremark* claims are loyalty-based), and apply the business judgement rule to the scope and efficacy of the compliance system. On the other hand, if a board cannot even be bothered to make this token showing (like the alleged board in *Marchand*), a court cannot even give them the benefit of the doubt; as in *Van Gorkom*, there's arguably no business judgement at all that the court can credit; or alternatively, perhaps a business judgement so obviously wrong that even a deferential judge feels as if they MUST criticize the board.

While technological advances, reduced information-gathering costs, and increased potential for damage caused by noncompliance (e.g. a region-wide listeria outbreak) may mean the *Marchand* court was slightly less deferential than the *Depeyster* court, the enduring theme between the decisions is that so long as (disinterested) boards, entrusted with managing a corporation's affairs, at least make a token showing of overseeing the core issues/assets of the business, a court will strive to not find them liable for breach of their responsibilities.

----------ANSWER-2-ABOVE----------

---------DO-NOT-EDIT-THIS-DIVIDER----------

----------ANSWER-3-BELOW----------

Answer-to-Question-_3_
Unocal and *Airgas* are the start and endpoints of one line of Delaware corporate law decisions, while *Revlon* and *Corwin* begin and end a separate line of cases. Though doctrinally distinct, both pairs are useful in highlighting how Delaware law is adaptive, and how it responds to changing social/economic conditions.

Unocal and *Revlon*, decided against the backdrop of 80s takeovers, took place during an era where capital was perhaps too "locked inside" corporations. Between chummy boards (*Revlon* was five outsiders, and five insiders), cash-based executive compensation, and fewer/less powerful institutional investors, it's reasonable to think that disciplining/aligning incentives with management was more difficult for SHs trying to improve the company; proxy voting as a disciplinary mechanism was no doubt more difficult, given lack of technological advancement, let alone the more recent innovation of universal proxies.

Because voting was a less effective mechanism, and the already fairly deferential "suit" mechanism was weakened by 102(b)(7) at around the same time, "sale" might have seemed like the optimal way for courts to help SHs discipline management. In order to ensure that management adopted the right attitude in a sale context (rather than looking for sweetheart deals), *Revlon* was decided; and in order to ensure that any apparent entrenchment by directors via defensive mechanisms was legitimate, so was *Unocal*. (Although *Van Gorkom* is not a beloved case, we can also see the same thing going on there, shortly before *Revlon* was decided; *Van Gorkom* holding rests in part on the fact that the directors' specific demeanor during *a sale*, the most important corporate event, was lacking; maybe there's a colorable argument that without the sale component, *Van Gorkom* would have come out differently).

Conversely, both *Airgas* and *KKR,* decided decades later, evince the court's increased confidence in the voting mechanism (given increasingly sophisticated voters, ease of communication, etc.), and the decreased need for sale processes to remain clear of director interference. Sales became more of an event where SHs aligned with management, given the rise of stock compensation; we also trust boards will have more independent directors, who can exercise unbiased judgement. *KKR* especially seems like a wholesale forsaking of courts protecting "sale"; essentially, absent self-dealing, courts no longer need boards to be on their best behavior during a sale, because they trust that voting will resolve any issues if the sale price is suboptimal.

If anything, *Airgas* is an even stronger endorsement of the voting process, as well as voting's increasing supremacy over *Unocal's* sale-based review; there, a court dejectedly admits that the *Unocal* doctrine seems to have conclusively moved towards deciding that measures which were once *Unocal* violations are no longer regarded as such, no matter how draconian they might seem (c f. *Interco*). Because a potential seller is able to successfully elect a slate of candiates (who then refuse to redeem a strong poison pill), the court seems to be saying "The board's refusal to redeem a pill is perhaps the system working as it should; you used our preferred method of disciplining the board (vote), while it didn't get you the result you wanted, it's clear these directors are independent of you, you have no standing to complain."

In short, we might say that both *Unocal* and *Revlon* give us a proposition along the lines of "Sale is important, and can be trusted as a disciplinary mechanism/market correction over means like voting and suit." Because of changing economic factors, however, the court in *Corwin* and *Airgas* seems to now say "When voting and our sale/takeover decisions clash, voting wins, because it's now the most trustworthy mechanism of board discipline."